



Capital
Markets

September 24, 2026

Zscaler Inc.

Zscaler announces a CRO change; we see little disruption risk given the internal promotion

Our view: Zscaler announced the departure of CRO Mike Rich for personal reasons with Ross Tackett, head of WW sales, being appointed as the new CRO. After catching up with management, we get the sense that the move is not a result of disagreement/performance and believe the transition will be smooth and not cause a GTM pivot. Mr. Tackett served most recently as Head of WW Sales, effectively running the sales organization since May, and worked with Mr. Rich at ServiceNow previously. Maintain OP rating; raise our PT to \$236 from \$210 on peer multiple expansion.

Key points:

What's new? After the close (9/24), Zscaler announced the appointment of Ross Tackett as CRO, who replaces Mike Rich. The company noted Mr. Rich is stepping down due to personal reasons and will remain as a strategic advisor to the company through December 31, 2026. Mr. Tackett joined Zscaler from ServiceNow shortly after Mr. Rich and served as Head of Americas sales before being promoted to head of WW sales this past May, where he ran the sales organization, closing out the FY. The company's new head of WW sales was an internal promotion.

Our view. After catching up with management, we get the sense the move is not as a result of disagreement/performance and will be smooth/not cause a GTM pivot. Given the relationship with Mr. Rich and internal promotion, we don't foresee big sales changes on the horizon. We also don't believe the announcement comes as a major surprise based on our investor conversations. We do not believe management knew of the departure when giving FY/27 guidance, but Mr. Tackett helped build the forecast which included additional conservatism for the two senior sales leaders that departed in FQ3 and potential disruption from trickle-down departures. We emphasize these two prior departures and this current announcement were all in isolation; as for the two prior exits, one was a unique opportunity to go to an early-stage company; the second was a mutual decision to move on. Additionally, while guidance reiterations are oftentimes included with announcements like this, management noted they just reported results on 9/3 and have an investor day coming up on 10/6 where they will get the opportunity to talk about future expectations. We note Mr. Tackett will be at the investor day.

Background on ZS sales. Recall, Zscaler hired Mike Rich from ServiceNow in late 2023 to overhaul the GTM to be more enterprise focused on the road to \$5B in ARR. The 3 pillars of his GTM motion centered around an account-centric sales motion, a top accounts program, and increased vertical selling. Key GTM initiatives for FY/27 include: more presence and coverage in the underserved lower end of enterprise, dedicated new logo targeting with programs for major accounts, and using AI Protect as a new logo entry point that doesn't require ZIA/ZPA.

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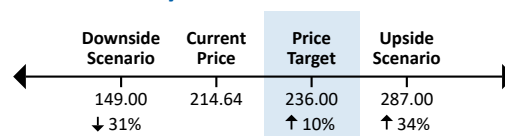
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Outperform

NASDAQ: ZS; USD 214.64

Price Target USD 236.00 ↑ 210.00

Scenario Analysis*



*Implied Total Returns

Key Statistics

Shares O/S (MM):	171.3	Market Cap (MM):	36,768
Dividend:	0.00	Yield:	0.0%
		Avg. Daily Volume:	3,169,504

RBC Estimates

FY Jul	2025A	2026A	2027E	2028E
Revenue	2,673.1	3,352.5	3,923.0	4,550.0
EPS, Ops Diluted	3.28	4.24	4.87	5.51
P/E	65.4x	50.6x	44.1x	39.0x

Revenue	Q1	Q2	Q3	Q4
2026	788.1A	815.8A	850.5A	898.2A
2027	937.0E	955.0E	1,000.0E	1,031.0E
2028	1,085.0E	1,115.0E	1,155.0E	1,195.0E

EPS, Ops Diluted	Q1	Q2	Q3	Q4
2026	0.96A	1.01A	1.08A	1.19A
2027	1.16E	1.17E	1.26E	1.29E
2028	1.31E	1.33E	1.40E	1.46E

All values in USD unless otherwise noted.

Priced as of prior trading day's market close, EST (unless otherwise noted).



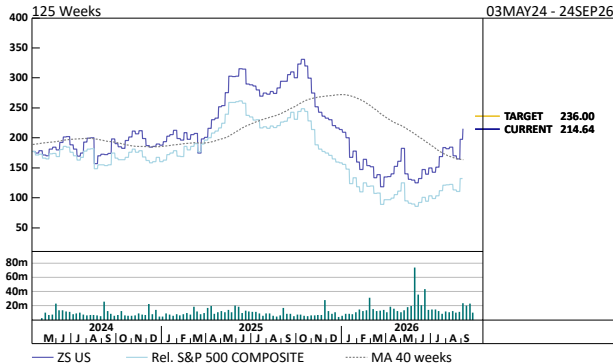
Ticker: ZS (\$M) unless noted	Jul-25A				Jul-26A				Jul-27E				Jul-28E				FY24A	FY25A	FY26A	FY27E	FY28E
INCOME STATEMENT	Oct-24A	Jan-25A	Apr-25A	Jul-25A	Oct-25A	Jan-26A	Apr-26A	Jul-26A	Oct-26E	Jan-27E	Apr-27E	Jul-27E	Oct-27E	Jan-28E	Apr-28E	Jul-28E					
Total revenue	628.0	647.9	678.0	719.2	788.1	815.8	850.5	898.2	937.0	955.0	1,000.0	1,031.0	1,085.0	1,115.0	1,155.0	1,195.0	2,167.8	2,673.1	3,352.5	3,923.0	4,550.0
Total cost of goods sold	122.0	127.1	133.9	149.1	158.3	161.5	163.8	177.4	187.4	191.0	200.0	206.2	217.0	223.0	231.0	239.0	411.5	532.1	661.0	784.6	910.0
Gross income	506.0	520.8	544.1	570.1	629.8	654.3	686.7	720.8	749.6	764.0	800.0	824.8	868.0	892.0	924.0	956.0	1,756.3	2,141.0	2,691.6	3,138.4	3,640.0
Research and development	95.2	105.0	106.0	103.7	124.1	144.4	143.5	147.7	152.7	160.2	161.6	164.9	179.0	184.0	182.5	187.6	313.2	409.9	559.7	639.4	733.1
Sales and marketing	240.8	237.5	250.2	269.4	296.2	283.1	295.5	304.3	328.4	330.1	343.0	351.9	373.2	383.6	396.2	407.5	868.4	997.9	1,179.2	1,353.4	1,560.5
General and administrative	35.8	37.9	41.2	38.2	37.6	45.8	51.8	50.4	52.5	54.4	55.0	55.7	57.5	60.2	63.5	64.5	132.4	153.1	185.6	217.6	245.8
Operating expenses	371.8	380.4	397.5	411.2	457.9	473.3	490.8	502.3	533.6	544.8	559.5	572.4	609.8	627.7	642.2	659.6	1,314.0	1,560.9	1,924.4	2,210.4	2,539.3
Operating income	134.1	140.5	146.7	158.9	171.9	181.0	195.8	218.4	216.0	219.2	240.5	252.4	258.2	264.3	281.8	296.4	442.2	580.1	767.1	928.0	1,100.7
Other income	27.2	24.6	31.0	31.7	30.0	32.5	29.3	32.4	33.0	34.5	36.0	37.5	38.5	39.5	40.5	41.5	96.2	114.5	124.3	141.0	160.0
Pretax income	161.4	165.0	177.6	190.6	201.9	213.5	225.2	250.9	249.0	253.7	276.5	289.9	296.7	303.8	322.3	337.9	538.4	694.6	891.4	1,069.0	1,260.7
Taxes	37.1	38.0	40.8	43.8	42.4	44.8	47.3	52.7	52.3	53.3	58.1	60.9	62.3	63.8	67.7	71.0	30.3	159.8	187.2	224.5	264.7
Net income	124.3	127.1	136.8	146.7	159.5	168.7	177.9	198.2	196.7	200.4	218.4	229.0	234.4	240.0	254.6	266.9	508.1	534.8	704.2	844.5	995.9
Earnings per share	\$0.77	\$0.78	\$0.84	\$0.89	\$0.96	\$1.01	\$1.08	\$1.19	\$1.16	\$1.17	\$1.26	\$1.29	\$1.31	\$1.33	\$1.40	\$1.46	\$3.19	\$3.28	\$4.24	\$4.87	\$5.51
Diluted shares outstanding	161.3	162.5	163.4	165.6	166.5	166.4	165.3	166.5	170.0	172.0	174.0	177.0	178.5	180.0	181.5	183.0	159.5	163.2	166.2	173.3	180.8
KEY METRICS																					
DSO	61	71	82	124	61	61	77	115	60	75	85	115	60	75	85	120	-	-	-	-	-
Cash	2,707.9	2,880.2	3,005.6	3,572.4	3,321.3	3,512.8	3,539.1	3,474.2	3,878.7	4,024.0	4,151.0	4,386.7	4,789.9	4,960.9	5,153.5	5,456.4	2,409.7	3,572.4	3,474.2	4,386.7	5,456.4
Debt	1,145.8	1,147.5	1,148.9	1,700.7	1,699.9	1,702.7	1,699.6	1,696.4	1,696.4	1,696.4	1,696.4	1,696.4	1,696.4	1,696.4	1,696.4	1,696.4	1,142.3	1,700.7	1,696.4	1,696.4	1,696.4
Deferred revenue	1,783.7	1,878.5	1,985.0	2,468.0	2,351.3	2,355.4	2,477.2	2,925.8	2,786.8	2,793.8	2,939.0	3,456.3	3,297.3	3,305.6	3,474.1	4,075.2	1,895.0	2,468.0	2,925.8	3,456.3	4,075.2
Billings	516.7	742.7	784.5	1,202.3	671.4	819.8	972.3	1,346.8	798.0	962.0	1,145.3	1,548.3	926.0	1,123.2	1,323.6	1,796.0	2,623.1	3,246.2	3,810.3	4,453.5	5,168.9
ARR	2,553.0	2,683.0	2,817.0	3,015.0	3,204.0	3,359.0	3,525.0	3,771.0	3,867.0	4,007.8	4,169.1	4,411.0	4,516.6	4,671.5	4,848.9	5,115.0	2,474.0	3,015.0	3,771.0	4,411.0	5,115.0
Cash flow from operations	331.3	179.4	211.1	250.6	448.3	204.1	198.0	279.3	488.9	231.2	217.0	328.5	500.8	271.4	296.5	410.5	779.8	972.5	1,129.7	1,265.6	1,479.2
Cash flow per share	\$2.05	\$1.10	\$1.29	\$1.51	\$2.69	\$1.23	\$1.20	\$1.68	\$2.88	\$1.34	\$1.25	\$1.86	\$2.81	\$1.51	\$1.63	\$2.24	\$4.89	\$5.96	\$6.79	\$7.32	\$8.19
Capital expenditures	(17.0)	(15.0)	(72.2)	(60.0)	(17.3)	(17.8)	(42.4)	(199.8)	(75.0)	(76.4)	(80.0)	(82.5)	(86.8)	(89.2)	(92.4)	(95.6)	(144.6)	(164.3)	(277.3)	(313.8)	(364.0)
Free cash flow	291.9	143.4	119.5	171.9	413.3	169.1	136.0	60.8	404.6	145.2	127.0	235.7	403.2	171.0	192.6	302.9	585.0	726.7	779.1	912.6	1,069.7
Free cash flow per share	\$1.81	\$0.88	\$0.73	\$1.04	\$2.48	\$1.02	\$0.82	\$0.36	\$2.38	\$0.84	\$0.73	\$1.33	\$2.26	\$0.95	\$1.06	\$1.66	\$3.67	\$4.45	\$4.69	\$5.27	\$5.92
PERCENT OF REVENUE																					
Gross income	80.6%	80.4%	80.3%	79.3%	79.9%	80.2%	80.7%	80.2%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	81.0%	80.1%	80.3%	80.0%	80.0%
Research and development	15.2%	16.2%	15.6%	14.4%	15.7%	17.7%	16.9%	16.4%	16.3%	16.8%	16.2%	16.0%	16.5%	16.5%	15.8%	15.7%	14.4%	15.3%	16.7%	16.3%	16.1%
Sales and marketing	38.3%	36.7%	36.9%	37.5%	37.6%	34.7%	34.7%	33.9%	35.0%	34.6%	34.3%	34.1%	34.4%	34.4%	34.3%	34.1%	40.1%	37.3%	35.2%	34.5%	34.3%
General and administrative	5.7%	5.9%	6.1%	5.3%	4.8%	5.6%	6.1%	5.6%	5.6%	5.7%	5.5%	5.4%	5.3%	5.4%	5.5%	5.4%	6.1%	5.7%	5.5%	5.5%	5.4%
Operating income	21.4%	21.7%	21.6%	22.1%	21.8%	22.2%	23.0%	24.3%	23.1%	23.0%	24.0%	24.5%	23.8%	23.7%	24.4%	24.8%	20.4%	21.7%	22.9%	23.7%	24.2%
Taxes	23.0%	23.0%	23.0%	23.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	5.6%	23.0%	21.0%	21.0%	21.0%
Net income	19.8%	19.6%	20.2%	20.4%	20.2%	20.7%	20.9%	22.1%	21.0%	21.0%	21.8%	22.2%	21.6%	21.5%	22.0%	22.3%	23.4%	20.0%	21.0%	21.5%	21.9%
Cash margin	52.8%	27.7%	31.1%	34.8%	56.9%	25.0%	23.3%	31.1%	52.2%	24.2%	21.7%	31.9%	46.2%	24.3%	25.7%	34.3%	36.0%	36.4%	33.7%	32.3%	32.5%
GROWTH Y/Y																					
Total revenue	26.4%	23.4%	22.6%	21.3%	25.5%	25.9%	25.4%	24.9%	18.9%	17.1%	17.6%	14.8%	15.8%	16.8%	15.5%	15.9%	34.1%	23.3%	25.4%	17.0%	16.0%
Gross income	26.2%	22.9%	20.8%	18.5%	24.5%	25.6%	26.2%	26.4%	19.0%	16.8%	16.5%	14.4%	15.8%	16.8%	15.5%	15.9%	34.7%	21.9%	25.7%	16.6%	16.0%
Operating income	49.5%	36.2%	20.4%	24.6%	28.1%	28.8%	33.5%	37.5%	25.7%	21.1%	22.8%	15.5%	19.6%	20.6%	17.2%	17.4%	83.6%	31.2%	32.2%	21.0%	18.6%
Net income	16.7%	4.9%	-2.2%	4.4%	28.3%	32.7%	30.1%	35.1%	23.3%	18.8%	22.8%	15.5%	19.2%	19.7%	16.6%	16.6%	82.9%	5.3%	31.7%	19.9%	17.9%
EPS	14.6%	2.7%	-4.4%	1.2%	24.3%	29.6%	28.5%	34.3%	20.8%	15.0%	16.7%	8.7%	13.5%	14.4%	11.8%	12.7%	78.3%	2.9%	29.3%	15.0%	13.0%
Deferred revenue	27.5%	25.1%	25.9%	30.2%	31.8%	25.4%	24.8%	18.5%	18.5%	18.6%	18.6%	18.1%	18.3%	18.3%	18.2%	17.9%	31.6%	30.2%	18.5%	18.1%	17.9%
Billings	13.2%	18.3%	24.9%	32.0%	29.9%	10.4%	23.9%	12.0%	18.9%	17.3%	17.8%	15.0%	16.0%	16.8%	15.6%	16.0%	28.9%	23.8%	17.4%	16.9%	16.1%
Cash flow per share	24.8%	23.7%	18.9%	19.3%	31.1%	11.1%	-7.3%	10.8%	6.8%	9.6%	4.2%	10.7%	-2.4%	12.2%	31.0%	20.8%	64.6%	21.9%	13.9%	7.8%	11.8%
Free cash flow per share	27.6%	39.4%	-5.2%	22.2%	37.2%	15.2%	12.5%	-64.9%	-4.1%	-16.9%	-11.2%	265.0%	-5.1%	12.5%	45.3%	24.3%	70.9%	21.4%	5.3%	12.4%	12.4%
GROWTH Q/Q																					
Total revenue	5.9%	3.2%	4.7%	6.1%	9.6%	3.5%	4.3%	5.6%	4.3%	1.9%	4.7%	3.1%	5.2%	2.8%	3.6%	3.5%					
Gross income	5.2%	2.9%	4.5%	4.8%	10.5%	3.9%	5.0%	5.0%	4.0%	1.9%	4.7%	3.1%	5.2%	2.8%	3.6%	3.5%					
Operating income	5.2%	4.7%	4.4%	8.3%	8.2%	5.3%	8.2%	11.5%	-1.1%	1.5%	9.7%	4.9%	2.3%	2.3%	6.6%	5.2%					
Net income	-11.6%	2.3%	7.6%	7.3%	8.7%	5.7%	5.5%	11.4%	-0.7%	1.9%	9.0%	4.8%	2.4%	2.4%	6.1%	4.8%					
EPS	-12.1%	1.5%	7.0%	5.9%	8.1%	5.8%	6.1%	10.6%	-2.8%	0.7%	7.7%	3.1%	1.5%	1.5%	5.2%	4.0%					
Deferred revenue	-5.9%	5.3%	5.7%	24.3%	-4.7%	0.2%	5.2%	18.1%	-4.8%	0.2%	5.2%	17.6%	-4.6%	0.2%	5.1%	17.3%					
Billings	-43.3%	43.7%	5.6%	53.2%	-44.2%	22.1%	18.6%	38.5%	-40.7%	20.5%	19.1%	35.2%	-40.2%	21.3%	17.8%	35.7%					
Cash flow per share	62.0%	-46.3%	17.0%	17.2%	77.9%	-54.4%	-2.4%	40.1%	71.5%	-53.3%	-7.2%	48.8%	51.2%	-46.3%	8.4%	37.3%					
Free cash flow per share	113.1%	-51.2%	-17.2%	42.0%	139.1%	-59.0%	-19.1%	-55.6%	552.1%	-64.5%	-13.5%	82.4%	69.6%	-57.9%	11.7%	56.0%					

Source: Company Reports and RBC Capital Markets estimates



Target/Upside/Downside Scenarios

Zscaler Inc.



Source: Bloomberg and RBC Capital Markets estimates for Target

Valuation

We calculate our base-case price target of \$236 by applying a 9x multiple to our CY/27 revenue estimate of \$4,231M. Our target EV/S multiple is a slight premium to +20-30% growing peers based on CY/27 estimates, in our view warranted due to a large and expanding TAM that leads to an attractive growth profile as well as the opportunity for upside to growth expectations. Our price target supports our Outperform rating.

Upside scenario

Our upside scenario of \$287 is based on revenue growth of 250 bps above our base-case in CY/26-27. To reach this level of growth, we believe there would need to be some combination of higher cross-selling, better new customer additions, and a stable to better macro environment. We believe upside to revenue and margins could point to 10x CY/27E EV/S, or a more significant premium to peers.

Downside scenario

Our downside scenario of \$149 is based on revenue growth of 250 bps below our base-case estimates in CY/26-27. To reach this level of growth, we believe there would need to be a fall-off in tech spending, less success expanding into new customers, and lower renewal and expansion rates. Additionally, with a less attractive growth and margin profile, we believe the stock could receive a lower multiple. We believe downside to revenue and margins could point to 5x CY/27E EV/S, or a significant discount to peers.

Investment summary

We believe Zscaler is well positioned to disrupt legacy security spending.

We believe Zscaler's cloud security platform is well positioned to disrupt \$20B of legacy security spend today that could imply a TAM of \$72B+. While mega-trends such as cloud adoption, digital transformation, and zero trust security are well established, we believe these trends could accelerate, which could point to continued upside to estimates. Relative to legacy on-premises network security vendors, Zscaler fundamentally changes the security paradigm through a cloud-based model. Acting as a digital/intelligent switchboard, Zscaler allows employees to securely connect to any application from any device and any location, all at a significant cost saving vs. on-premises hardware. We believe Zscaler and the broad categories of Zero Trust and SASE are well positioned to cannibalize legacy network, application, and data security spend.

Potential growth catalysts

- Continued adoption of cloud-based applications could drive increased usage of ZIA and ZPA.
- Increased adoption of Office 365, the most popular cloud-based app has been a driver, but could accelerate further.
- Improved sales execution due to recent hires and added capacity.
- Adoption of newer products such as ZDX and ZB2B.

Risks to rating and price target

- Operates in a market with competition from larger legacy competitors and new entrants.
- Business is dependent on ability to land new customers and retain and expand within the base.
- Will need to manage growth effectively to maintain customer satisfaction.
- Macros could impact company operations or customer demand.



Key fundamental questions

Our view

What makes Zscaler different?

Before the proliferation of the Internet, the traditional “hub-and-spoke” corporate perimeter was the norm where traffic from branch offices was routed to centralized data centers for security scanning and policy enforcement before reaching its destination. Zscaler takes a different approach and sits between an organization’s users and devices, and the internet, inspecting traffic on a direct path to the destination. The platform enables customers to set policies that follow users, so a consistent level of protection is applied no matter where users are located or how they are connected to the internet. Customers route internet traffic through Zscaler’s datacenters and benefit from a network effect, as once a security threat has been detected, it can be blocked for all users across the network.

Where does Zscaler sit in the next-gen security tech stack?

As traditional network barriers break down in a post-COVID world, many CIOs we speak with believe that application access and security will become paramount. Along with solutions that protect applications, we believe a focus on protecting identity, endpoints, branch offices, security operations, and management will become more critical, especially in a post-COVID world where the corporate data center footprint could shrink more rapidly than previously expected. As such, we believe Zscaler is well positioned for many secular tailwinds such as the continued importance of the cloud, mobility and IoT, increasing security threats, the increasing pace of digital transformation, elevated work-from-home levels, and rethinking what a branch office looks like.

What is the opportunity around ZPA?

ZPA is a cloud service that provides zero trust, secure remote access to internal applications running in the cloud or within a data center. With ZPA, applications are never exposed to the internet, making them completely invisible to unauthorized users. The service enables the applications to connect to users via inside-out connectivity versus extending the network to them. Currently, approximately 40% of G2K customers have purchased ZPA and ZPA accounts for approximately 40% of new sales.



Key sustainability questions

This section is intended to highlight key sustainability discussion points relevant to this company, as well as our views on the outlook. Both the questions we highlight and our responses will evolve over time as the dialogue between management, analysts and investors continues to advance. We welcome any feedback on the topics.

Our view

What are the most material sustainability issues facing this company?

Data privacy and security: As the threat landscape continues to evolve and increasingly sophisticated breaches come to light, adequate security controls at all levels of the software life cycle have become necessary to continue to retain and expand the customer base. Aside from providing security solutions to customers, Zscaler is conscious of its internal security posture and integrates security across its development lifecycle. Zscaler's cloud platform is monitored in real time with publicly available insight into the performance and health of the service. In addition, the company performs regular vulnerability scans, risk assessments, and penetration tests to maintain the highest standards of security and availability. All employees undergo annual security training and the CISO reports to the Chief Strategy Officer, as the company believes that security and strategic initiatives should be closely aligned. The company has the following certifications and attestations: ISO 27001, ISO 27701, SOC2 Type II, FedRAMP, FIPS 140-2, CSA STAR, ISO 27018, IRAP, among others. **Diversity and inclusion:** The company has a diversity and inclusion committee and six employee resources groups. The company monitors diversity across candidates and interview panels. **Energy consumption:** While the software industry is not a particularly energy-intensive industry, its biggest source of energy consumption comes from the data centers, which account for ~1% of global electricity use. Zscaler has more than 150 data centers globally. Zscaler's cloud (and global offices) are now 100% renewable energy (prior target was 90% by 2025). The company expects to reach net zero by 2025.

Does the company integrate sustainability considerations into its strategy?

While sustainability-related disclosures remain limited, Zscaler launched a website that lays out its strategy around security, environment, diversity and inclusion as well as governance. Additionally, we have recently observed a greater level of conversation around topics such as environmental sustainability and diversity and culture. Management disclosed its environmental footprint and commitment to moving to renewable sources at its 2021 analyst day. The company has several initiatives in place with regard to diversity and inclusion.

What is diversity like at the board/management level?

Management: 15% female, 85% male. Board of directors: 25% female, 75% male



Company description

Zscaler enables customers to securely transform their networks and applications for a mobile and cloud-first world. Its flagship services, Zscaler Internet Access (ZIA) and Zscaler Private Access (ZPA), create fast, secure connections between users and applications, regardless of device, location, or network. Zscaler services are 100% cloud-delivered and offer the simplicity, enhanced security, and improved user experience that traditional appliances are unable to match. Used in more than 185 countries, Zscaler operates a multi-tenant distributed cloud security platform, protecting thousands of customers from cyber-attacks and data loss.

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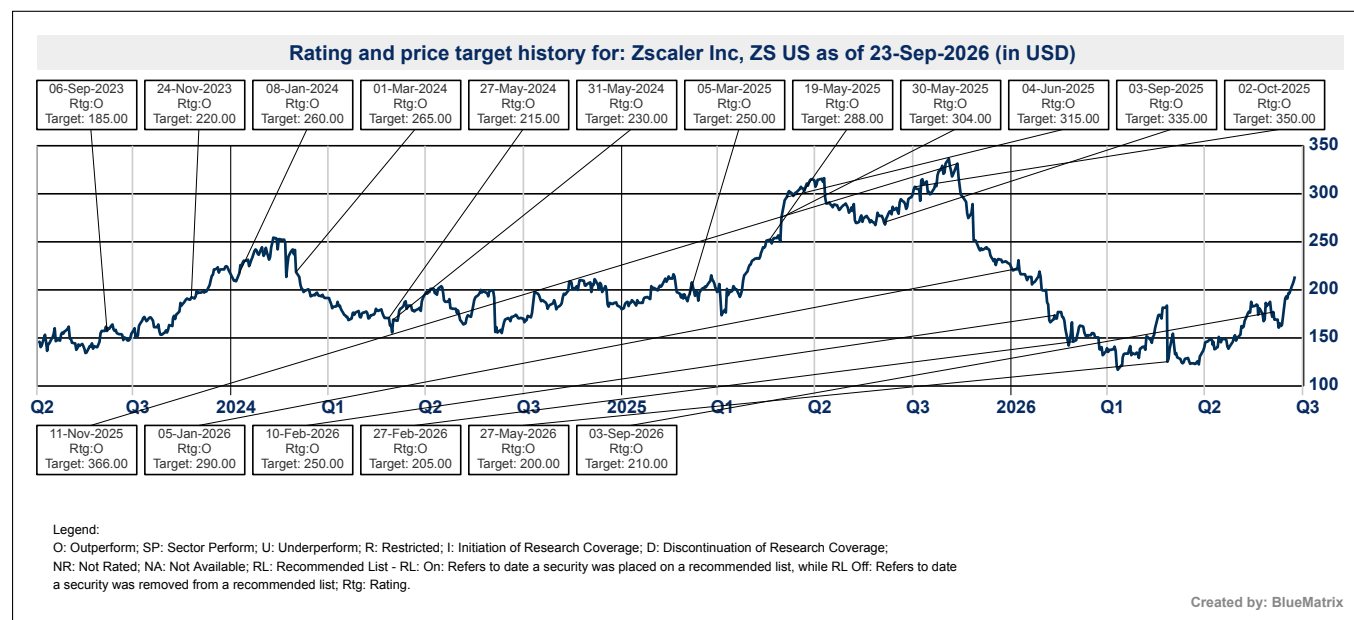
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Rating	Count	Percent	Count	Percent
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Zscaler Inc

Valuation

We calculate our base-case price target of \$236 by applying a 9x multiple to our CY/27 revenue estimate of \$4,231M. Our target EV/S multiple is a slight premium to +20-30% growing peers based on CY/27 estimates, in our view warranted due to a large and



expanding TAM that leads to an attractive growth profile as well as the opportunity for upside to growth expectations. Our price target supports our Outperform rating.

Risks to rating and price target

- Operates in a market with competition from larger legacy competitors and new entrants.
- Business is dependent on ability to land new customers and retain and expand within the base.
- Will need to manage growth effectively to maintain customer satisfaction.
- Macros could impact company operations or customer demand.

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